

Calendar Line 3

Case Name: *PEDRO BOSCHI vs MEGAN ALLEN et al*

Case No.: 25CV473804

Defendant, Amr Darwish demurs to the entirety of Plaintiff's complaint on the ground that every cause of action fails to state facts sufficient to constitute a viable claim. (Notice at 1:27)

I. Factual Allegations

Defendants engaged Plaintiff to board and train six dogs in Los Angeles County. Defendants, Allen and Darwish agreed to pay Plaintiff \$250 per day, per dog for the services. (Complaint ¶ 8)

Plaintiff performed the services to the satisfaction of Allen and Darwish. Plaintiff kept an account for his rendered services. In total, Allen and Darwish incurred more than \$70,000.00 in fees. Defendants made installment payments. The last payment was made by Darwish in March 2025. There remains an unpaid balance of at least \$13,900.00. Darwish and Allen have refused to pay the balance claiming the debt is responsibility of the rescue entity, Zeppelin & Friends. (Complaint ¶¶ 10-14)

Plaintiff initiated this action on August 27, 2025, alleging causes of action for (1) breach of contract, (2) open book account, and (3) goods and services rendered.

II. Legal Standard

"The party against whom complaint or cross-complaint has been filed may object, by demurrer or answer as provided in [Code of Civil Procedure] section 430.30, to the pleading on any one or more of the following grounds: . . . (e) The pleading does not state sufficient facts to constitute cause of action, (f) The pleading is uncertain." (C.C.P. § 430.10(e) & (f).)

A demurrer may be used by "[t]he party against whom complaint has been filed" to object to the legal sufficiency of the pleading as whole, or to any "cause of action" stated therein, on one or more of the grounds enumerated by statute. (C.C.P. §§ 430.10 & 430.50(a).)

"A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court." (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal. 3d 197, 213-214.) In ruling on demurrers, courts may consider matters subject to judicial notice. (*Scott v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal. App. 4th 743, 751.) Evidentiary facts found in exhibits attached to complaint can be considered on demurrer. (*Frantz v. Blackwell* (1987) 189 Cal.App.3d 91, 94.)

Under California law, even if a demurrer is sustained, leave to amend the complaint is routinely granted. "Liberality in permitting amendment is the rule, if fair opportunity to correct any defect has not been given." (*Angie M. v. Superior Court* (1995) 37 Cal. App. 4th 1217,

1227.) “Unless the complaint shows on its face that it is incapable of amendment, denial of leave to amend constitutes an abuse of discretion, irrespective of whether leave to amend is requested or not.” (*McDonald v. Sup. Ct. (Flintkote Co.)* (1986) 180 Cal. App. 3d 297, 303-304.)

III. Analysis

A. Breach of Contract

To allege a cause of action for breach of contract, a plaintiff must allege (1) existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages. (*Bushell v. JPMorgan Chase Bank, N.A.* (2013) 220 Cal.App.4th 815, 921.)

This claim, as alleged in the complaint, is subject to demurrer on three independent grounds:

1. **Section 430.10(g) Defect—Nature of Contract Not Ascertainable.** The complaint fails to state whether the alleged contract is written, oral, or implied by conduct, as required by Code of Civil Procedure section 430.10, subdivision (g). The complaint alleges only that "Defendants engaged Plaintiff to board and train six dogs" and that "Allen and Darwish agreed to pay Plaintiff \$250 per day, per dog." (Complaint ¶ 8) Nowhere does the complaint specify the form of the contract. Boschi's opposition concedes this defect by announcing for the first time that "the contract is oral and implied by conduct." (Opposition at 3:14-16) It is elementary that a pleading cannot be amended by statements in a brief. Boschi's need to supply the contract's character in his opposition proves the statutory defect. Boschi's reliance on *Chen v. Berenjian* (2019) 22 Cal.App.5th 811, is misplaced. *Chen* involves demurrers for uncertainty under section 430.10, subdivision (f), not subdivision (g). Subdivision (g) imposes a separate and specific requirement: in an action founded upon a contract, the pleading itself must disclose whether the contract is written, oral, or implied by conduct. (Code. Civ. Proc. § 430.10(g).) This requirement is not satisfied through discovery and is not excused because a defendant may know facts about the parties' dealings—it defines the very claim Darwish must answer, including the applicable limitations period. Moreover, Boschi hedges between two legally distinct theories—an express oral agreement and a contract implied in fact—which carry different elements and proof. This ambiguity compounds the pleading defect.
2. **Failure to Allege Essential Terms** – Setting the section 430.10(g) defect aside, the complaint fails to plead the contract's essential terms or legal effect with the specificity California law requires. For a contract to be enforceable the terms of the contract must be sufficiently certain to provide a basis for determining what obligations the parties have agreed to. (*Weddington Productions, Inc. v. Flick* (1998) 60 Cal. App. 4th 793, 811.) Plaintiff may either plead the terms of the contract -by attaching the agreement or quoting the language- or plead the legal effect of the agreement. (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29

Cal. 4th 189, 198-199.) "In order to plead a contract by its legal effect, plaintiff must 'allege the substance of its relevant terms. This is more difficult, for it requires careful analysis of the instrument, comprehensiveness in statement, and avoidance of legal conclusions.'" (*McKell v. Washington Mut., Inc.* (2006) 142 Cal. App. 4th 1457, 1489.) Plaintiff alleges only a price term (\$250 per day, per dog) and nothing more. It does not allege when any agreement was formed, when payment was due, the duration of the engagement, or whether the six dogs were the subject of one agreement or several. These omissions prevent Darwish from ascertaining the basic contours of the alleged contractual obligation. More fundamentally, the complaint fails to identify who promised to pay. Paragraph 8 alleges that "Defendants engaged Plaintiff," i.e., all three defendants, but that only "Allen and Darwish agreed to pay Plaintiff \$250 per day, per dog." Paragraph 9 narrows the obligation further, alleging that "Darwish personally promised to pay Plaintiff for all the Services." Paragraph 16 then broadens it again, alleging that "Defendants agreed to pay Plaintiff \$250 per dog, per day, for the Services" - sweeping in Zeppelin, the entity Paragraph 8 had excluded from the payment term. These are three different contractual theories: (a) a joint obligation of Allen and Darwish; (b) a sole obligation of Darwish for the entire debt; and (c) an obligation of all defendants including Zeppelin. Each carry different legal consequences for joint and several liability, the statute of frauds, and the applicable limitations period. Darwish cannot ascertain from the pleading which obligation he is alleged to have undertaken.

3. **Statute of Frauds** - The complaint's own allegations suggest that Darwish's promise was a collateral guarantee barred by the statute of frauds. Paragraph 9 alleges Darwish's "personal promise" to pay Plaintiff for all the services was made "[t]o further induce Plaintiff to perform the Services without an upfront payment" after Allen represented that the dogs' circumstances were dire. Paragraph 10 alleges the dogs were returned "trained and ready for adoption or to return to their prior owners"—they were not Darwish's dogs. Paragraph 14 alleges that "Allen and Darwish now claim that debt is the responsibility of Zeppelin, only." On the face of the pleading, the services were rendered for the benefit of Allen and the rescue entity, and Darwish's alleged "personal promise" appears to be a special promise to answer for the debt or default of another—invalid unless in writing and subscribed. (Civ. Code § 1624(2).) No writing is alleged or attached. Boschi's opposition asserts that Darwish is "primarily liable," not a guarantor. (Opposition at 4:3-5) But this characterization contradicts the complaint's allegations. Drawing reasonable inferences in favor of the plaintiff does not permit the plaintiff to escape the allegations he has actually made. While the rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, the Court must still accept the material facts as pleaded. Whether Darwish's promise constitutes an original obligation exempt from the statute of frauds under Civil Code section 2794, subdivision (4)—because it was upon a consideration beneficial to the promisor—depends on facts not adequately pleaded. (Civ. Code § 2794(4).) The

complaint does not allege what benefit, if any, Darwish personally derived from the arrangement.

Based on the foregoing, Defendant's demurrer to the first cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND.

B. Open Book Account

To establish a common count for open book account, Plaintiff must allege (1) the existence of a financial relationship between the parties; (2) that the creditor, in the regular course of business, kept an account of the debits and credits involved in the [*6] transactions; (3) that the debtor owes money on the account; and (4) evidence showing the amount owed. (CACI No. 372; *Interstate Group Administrators, Inc. v. Cravens, Dargan & Co.* (1985) 174 Cal.App.3d 700, 708.)

"A common count is not a specific cause of action, however; rather, it is a simplified form of pleading normally used to aver the existence of various forms of monetary indebtedness, including that arising from an alleged duty to make restitution under an assumpsit theory." (*McBride v. Boughton* (2004) 123 Cal.App.4th 379, 394.) "When a common count is used as an alternative way of seeking the same recovery demanded in a specific cause of action, and is based on the same facts, the common count is demurrable if the cause of action is demurrable." (*Ibid.*)

The common count here is not pled in the alternative, but incorporates the identical factual allegations from the breach of contract cause of action and re-alleges the same agreement. The only new allegation in this cause of action states merely that Boschi "in the regular course of business, kept a written account" of the debts and credits. (Complaint ¶ 22) This describes Boschi's unilateral record-keeping, not the parties' agreement to treat their transaction as items in an open book account. Since Plaintiff's second cause of action rests on the same defective contract allegations, it fails with the first cause of action.

Therefore, Defendant's demurrer to the second cause of action is SUSTAINED WITH 15 DAYS LEAVE TO AMEND.

C. Goods & Services Rendered (Quantum Meruit)

"To recover on a claim for the reasonable value of services under a quantum meruit theory, a plaintiff must establish both that he or she was acting pursuant to either an express or implied request for services from the defendant and that the services rendered were intended to and did benefit the defendant." (*Ochs v. PacifiCare of California* (2004) 115 Cal.App.4th 782, 794.)

"A quantum meruit or quasi-contractual recovery rests upon the equitable theory that a contract to pay for services rendered is implied by law for reasons of justice. However, it is well settled that there is no equitable basis for an implied-in-law promise to pay reasonable value when the parties have an actual agreement covering compensation." (*Hedging Concepts, Inc. v. First Alliance Mortgage Co.* (1996) 41 Cal.App.4th 1410, 1419, internal citation omitted; See also, *Lance Camper Manufacturing Corp. v. Republic Indemnity Co.* (1996) 44 Cal.App.4th 194, 203 ["it is well settled that an action based on an implied-in-fact or quasi-contract cannot lie

where there exists between the parties a valid express contract covering the same subject matter."].)

Plaintiff alleges Darwish "agreed to pay Plaintiff \$250 per day, per dog" and "personally promised to pay Plaintiff for all the Services." (Complaint ¶¶ 8, 9) These allegations of an express agreement preclude recovery under quantum meruit. Boschi's reliance on *Newport Harbor Ventures, LLC v. Morris Cerullo World Evangelism* (2018) 6 Cal.App.5th 1207, for the proposition that he may plead inconsistent causes of action is unavailing. While a plaintiff may plead breach of contract and common counts in the alternative, the quantum meruit claim here is not pled as an alternative theory. The third cause of action incorporates Paragraphs 1 through 24, including all allegations of the agreement. Plaintiff does not plead this cause of action in the alternative; if no contract existed.

Furthermore, recovery in quantum meruit requires that the services were intended to and did benefit the defendant. (*Ochs, supra*, 115 Cal.App.4th at p 794.) Plaintiff's own allegations negate any direct benefit to Darwish individually. Paragraph 10 alleges the trained dogs were released "for adoption or to return to their prior owners." Paragraph 14 alleges the underlying debt is claimed to belong to the rescue entity, Zeppelin. No direct benefit to Darwish individually is or can be alleged based on these facts. Boschi's opposition fails to address this fundamental defect.

III. Conclusion & Order

Defendant's demurrer to Plaintiff's complaint is SUSTAINED WITH 15 LEAVE TO AMEND.

- oo0oo -

Calendar line 4

- 00000 -

Calendar Line 5**Case Name:** *Melissa Ikeda, et al vs FCA US, LLC, et al***Case No:** 25CV481480

Plaintiffs Melissa Ikeda and Hideo Ideda (Plaintiffs)' motion to compel defendant FCA US LLC (FCA) to comply with California Code of Civil Procedure (CCP) section 871.26 by producing all documents required under subdivisions (h)(6), (h)(7), (h)(8), (h)(9), (h)(10), (h)(12) and (h)(13) is GRANTED.

All responsive documents required under subdivisions (h)(6), (h)(7), (h)(8), (h)(9), (h)(10), (h)(12) and (h)(13) of CCP section 871.26 shall be produced by FCA within 10 days of Plaintiff's Notice of Entry of (i) this order signed by the court in this action and (ii) the Stipulated Protective Order (PO) signed by the court on July 21, 2026 in this action.

All other requests for relief by Plaintiff, including monetary sanctions under CCP section 872.26(j)(1) are DENIED.

Discussion

Here, both sides agree in their papers that CCP section 871.26 applies to this lemon law action. CCP section 871.26(b) provides:

(b) Within 60 days after the filing of the answer or other responsive pleading, all parties shall, without awaiting a discovery request, provide to all other parties an initial disclosure and documents pursuant to subdivisions (f), (g), and (h).

(CCP §871.26(b).)

CCP section 871.26(h) provides:

(h) The defendant or manufacturer shall provide the following documents to all other parties pursuant to the timelines prescribed in subdivision (b):

(1) Copy of or access to a version of the owner's manual for a motor vehicle of the same make, model, and year.

(2) Any warranties issued in conjunction with the sale of the motor vehicle.

(3) Sample brochures published for the motor vehicle.

(4) The motor vehicle's original invoice, if any, to the selling dealer.

(5) Sales or lease agreement, if the manufacturer is in possession.

(6) Motor vehicle information reports, including build documentation, component information, and delivery details.

(7) Entire warranty transaction history for the motor vehicle.

- (8) Listing of required field actions applicable to the motor vehicle.
- (9) Published technical service bulletins (“TSBs”) for the same make, model, and year reasonably related to the nonconformities pertaining to the motor vehicle.
- (10) Published information service bulletins (“ISBs”) for the same make, model, and year reasonably related to the nonconformities pertaining to the motor vehicle.
- (11) Records relating to communications between the manufacturer or dealership and the owner or lessee of the motor vehicle, including those related to repair orders or claims involving the motor vehicle.
- (12) Warranty policies and procedure manuals.
- (13) Service manuals reasonably related to the nonconformities pertaining to the motor vehicle.
- (14) If a pre-suit restitution or replacement request is made, all call recordings of pre-suit communications with the consumer available at the time of service of the complaint.
- (15) If a pre-suit restitution or replacement request is made, the manufacturer’s written statement of policies and procedures used to evaluate customer requests for restitution or replacement pursuant to “Lemon Law” claims.
- (16) If a pre-suit restitution or replacement request is made, any nonprivileged, prelitigation evaluation.
- (17) Any warranty extensions or modifications issued by the manufacturer on the motor vehicle.

(CCP § 871.26(h).)

FCA’s opposition acknowledges that it withheld [purportedly] confidential documents subject to a stipulated PO proposed on March 3, 2026, and that Plaintiffs’ counsel signed the proposed stipulated PO on June 16, 2026. The court signed the stipulated PO on 7/21/2026.

All other discovery requests by Plaintiffs in their motion are DENIED. Plaintiffs motion’s memorandum of points and authorities (MPA) at pages 13-14 request relief that were *not* requested in its Notice of Motion, at pages 1-2. The purpose of initial disclosures is to avoid the need for discovery motions and Plaintiffs’ MPA seeks to expand relief beyond the requirements of CCP section 871.26(h) to include numerous discovery requests that Plaintiffs failed to include in their Notice of Motion. Furthermore, CCP section 871.26(e) provides, in part:

- (e) Except as provided in subdivisions (b) and (c), ***all other discovery shall be stayed until mediation is concluded....***

(CCP § 871.26(e) [emphasis added].)

Plaintiffs request for monetary sanctions pursuant to CCP section 871.26(j)(1) against FCA and its counsel of record in the amount of \$2,500 (or any other amount) are DENIED.

CCP section 871.26(j)(1) provides:

(j) Unless the party failing to comply with this section shows good cause, notwithstanding any other law and in addition to any other sanctions imposed pursuant to this chapter, a court shall impose sanctions as follows:

*(1) A one-thousand-five-hundred-dollar (\$1,500) sanction against the plaintiff's attorney or two-thousand-five-hundred-dollar (\$2,500) sanction **against the defense attorney** respectively, paid within 15 business days for failure to comply with the document production requirements as prescribed in subdivision (b).*

(CCP § 871.26(j)(1) [emphasis added].)

CCP section 871.26(j)(1) does NOT authorize sanctions against FCA.

The court finds that FCA (and its counsel) showed good cause for failing to comply pursuant to CCP section 871.26(j) by producing responsive documents pursuant to CCP section 871.26(h) (except for [purportedly] confidential documents that needed to be protected by a PO), by submitting the proposed stipulated PO to Plaintiffs' counsel for signature before its response to CCP section 871.26(h) was due, and by responding to Plaintiffs' counsel's meet and confer letter in good faith to try to avoid this motion.

Plaintiffs shall promptly serve and efile notice of entry (with proof of electronic service on counsel for FCA) of: (i) this order signed by the court; and (ii) the stipulated PO signed by the court on July 21, 2026 in this matter.

The court will prepare the order.

- oo0oo -

Calendar Line 6**Case Name:** *Dwayne Culbertson vs Jose Arias et al***Case Number:** 25CV458272

Plaintiff Dwayne Culbertson (“Plaintiff”)’s motion pursuant to Code of Civil Procedure (CCP) section 473(b) to set aside the dismissal of defendant Jose Alfredo Cortez Arias (“Arias”) (the “Motion”) on the grounds that the dismissal resulted from mistake, inadvertence, surprise, or excusable neglect after the Plaintiff diligently attempted to locate and serve Arias is GRANTED. The dismissal of defendant Arias is VACATED.

Discussion

Plaintiff moves to set aside the dismissal of the defendant Arias on the grounds that the dismissal resulted from mistake, inadvertence, surprise, or excusable neglect after the Plaintiff diligently attempted to locate and serve Arias. The Motion is made pursuant to CCP section 473(b).

The Plaintiff filed the Complaint on February 5, 2025, alleging causes of action for motor vehicle and general negligence against defendants San Mateo Community College District (“District”) and Arias. Plaintiff alleges that on April 23, 2024, Arias, while acting within the course and scope of his employment with the District, negligently operated a District vehicle and collided with the Plaintiff’s vehicle, causing the Plaintiff injuries.

At the February 20, 2026, hearing, the Court dismissed Arias without prejudice after determining that he had not been served. Proof of service showing that the defendant, Arias, was personally served on February 21, 2026, has been filed on February 27, 2026, and the Plaintiff promptly filed the Motion to Set Aside Dismissal on February 26, 2026.

CCP section 473(b) provides:

The court may, upon any terms as may be just, relieve a party or the party’s legal representative from a judgment, dismissal, order, or other proceeding taken against the party through the party’s mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be made within a reasonable time, in no case exceeding six months after the judgment, dismissal, order, or proceeding was taken.

The Plaintiff timely filed the Motion within six months of the dismissal. The Plaintiff further submitted evidence demonstrating multiple attempts to locate and serve Arias, including repeated service attempts, a skip trace, and efforts to obtain a valid address after prior counsel handling the matter left the firm. A proof of personal service of Arias was filed shortly after the dismissal. Although Arias has subsequently filed a separate Motion to Quash Service of Summons challenging the effectiveness of that service, that motion is not presently before the Court and does not impact whether the Plaintiff has established grounds for relief under CCP section 473(b). The Court finds that the Plaintiff has demonstrated mistake, inadvertence, surprise, and excusable neglect within the meaning of CCP section 473(b).

Conclusion

Plaintiff's Motion for Set Aside Dismissal, the Motion is GRANTED. The dismissal of defendant Jose Alfredo Cortez Arias is VACATED.

The court will prepare the order.

\

- 00000 -

Calendar Line 7

Case Name: *In Re: AUA CORPORATION, a California Corporation in the Process of Winding Up*

Case No.: 25CV458413

Petitioner Teddy Liang, as Trustee of The Liang Irrevocable Trust (“Petitioner”), moves for a Judgment of Dissolution and Distribution of Assets (the “Motion”) pursuant to Corporations Code section 1904. Petitioner requests that the Court enter a judgment dissolving AUA Corporation and distributing all of its assets, including the Morgan Hill real property and any proceeds therefore, to Petitioner.

Petitioner filed a Petition for Court Supervision of Voluntary Winding Up and Dissolution on February 6, 2025, seeking judicial supervision of the voluntary winding up of AUA Corporation. Petitioner alleged that AUA was incorporated by Petitioner’s father, Steve Liang, in 2016, but that several corporate formalities were never completed. AUA’s sole asset is undeveloped real property located in Morgan Hill, California, and title insurance companies refused to insure the property’s sale because there was no documentation establishing Petitioner’s authority to act on behalf of AUA. On July 11, 2025, the Court granted the Petition and assumed jurisdiction over the winding up and dissolution of AUA. Thereafter, on October 30, 2025, the Court authorized Petitioner to sell the Morgan Hill Property and retain the proceeds in escrow pending final dissolution.

Corporations Code section 1904 provides that:

If a corporation is in the process of voluntary winding up, the superior court, upon the petition of the superior court, upon the petition of the corporation or certain qualifying shareholders or creditors, and upon such notice as the court may order, may take jurisdiction over the voluntary winding up proceeding if necessary for the protection of parties in interest. If the court assumes jurisdiction, it may make such orders concerning the winding up of the corporation’s affairs and the protection of its shareholders and creditors as justice and equity may require.

Pursuant to the Court’s July 11, 2025 order, Petitioner published notice of the winding up in the San Jose Post Record for four consecutive weeks and served notice upon the attorney for Steve Liang’s estate and the corporation’s incorporator. No person came forward to assert a claim, and the statutory period for potential claims expired on November 18, 2025. The Morgan Hill property has been sold, and the proceeds have been placed in escrow. Petitioner has complied with the Court’s prior orders and completed the requirements for the winding up and dissolution of the AUA Corporation. No opposition to the Motion has been filed.

Regarding the Petitioner’s Motion for Judgement of Dissolution and Distribution of Assets, the Motion is GRANTED. The Court orders the dissolution of AUA Corporation and the distribution of its remaining assets to Petitioner.

Petitioner to promptly submit the proposed judgment for signature by the court.

The court will prepare the order.

Calendar Line 8

- oo0oo -

Calendar line 9

- oo0oo -

Calendar line 10

Case Name: *City of San Jose et al vs Cheryl Lam et al*

Case No.: 26CV484023

Court-appointed Receiver Gerard F. Keena II (the “Receiver”) moves for approval of the Receiver’s April 2026 Monthly Report and Accounting and payment of the Receiver’s fees and expenses (the “Motion”). The Receiver also requests that the Court overrule the Defendants’ objections to the April Monthly Report and Accounting on the grounds that Defendants’ objections fail to identify any unreasonable or improper fees or expenses and instead constitute an improper collateral attack on the Court’s appointment of the Receiver.

Plaintiffs the People of the State of California and the City of San Jose (Plaintiffs) filed the Complaint on January 8, 2026, alleging defendants Cheryl Lam and Nicholas Keith Christian (Defendants) violated the Narcotics Abatement Law (Health and Safety Code § 11570, et seq.), public nuisance (Civil Code § 3479 et seq.), and seeking declaratory and injunctive relief arising from hazardous methamphetamine contamination and nuisance condition at the property located at 72 North Buena Vista Avenue, San Jose, California. Plaintiffs also sought appointment of a receiver pursuant to Health and Safety Code section 17980.7(c).

On January 13, 2026, the Court appointed Gerard F. Keena II as Receiver over the Property pursuant to Health and Safety Code section 17980.7(c), Health and Safety Code Section 11570, Code of Civil Procedure section 564 et seq., and the Court’s equitable powers. The appointment order authorized the Receiver to administer the Property, prepare periodic reports and accountancy, and receive compensation for services rendered. The appointment also provides that the Defendants may challenge the Receiver’s administration by filing objections to the Receiver’s reports pursuant to California Rule of Court 3.1183. The Receiver served the April 2026 Monthly Report and Accounting, the Defendants filed objections, and the Receiver then filed the Motion seeking approval of the report and payment of the requested fees and expenses.

On June 17, 2026 the Court signed an order advancing the hearing on this motion from March 3, 2027 to July 22, 2026 at 9:00 a.m. in Department 16 and that any opposition or reply briefing shall be filed and served in accordance with Code of Civil Procedure section 1005. The Receiver filed Notice of Advanced Hearing Date Re: Receiver’s Motion for Approval of April 2026 Monthly Report and Payment of Receiver’s Fees and Expenses and Proof of Service was electronically filed on June 23, 2026.

California Rule of Court 3.1183 states:

- (a) Interim fees are subject to final review and approval by the court. The court retains jurisdiction to award a greater or lesser amount as the full, fair, and final value of the services received.
- (b) Unless good cause is shown, objections to a receiver’s interim report and accounting must be made within 10 days of notice of the report and accounting, must be specific, and must be delivered to the receiver and all parties entitled to service of the interim report and accounting.

Defendants filed objections to the Receiver’s April 2026 Monthly Report and Accounting. The Receiver contends that Defendants’ objections do not identify any

unnecessary or improper fees or expenses, but instead seek to re-litigate the Court's appointment of the Receiver. The Court's appointment order remains valid, and Cheryl Lam's appeal from that order has been dismissed, with the partial remittitur having been issued.

The receiver's expenses are reviewed in equity, and absent the evidence of fraud, unfairness, or misconduct, they should be approved. *People v. Riverside Univ.*, 35 Cal. App. 3d 572, 586 (1973). Furthermore, unsubstantiated objections do not provide a basis for refusing to approve a receiver's account. *Cnty. of Sacramento v. Rawat*, 65 Cal. App. 5th 858, 865 (2021).

Simply put, the Receiver's "challenged" activities during the April 2026 concern administration of the receivership estate, coordination of remedial efforts, communicating with stakeholders, addressing lender issues, responding to Defendants' litigation activity and complying with Court obligations in the Appointing order, and the specific entries challenged by Defendants are proper receivership fees/costs.

Accordingly, the Court finds the Receiver's April 2026 Monthly Report and Accounting and the requested fees and expenses are reasonable.

Therefore, regarding the Receiver's Motion for Approval of the April 2026 Monthly Report and Accounting and Payment of Receiver's Fees and Expenses, Defendants' objections are OVERRULED, and the Motion is GRANTED.

The Receiver shall prepare an order for signature by the court including the specific amounts requested for approval in the Receiver's April 2026 Monthly Report (See page 29 of 62 to the Declaration in Support of Brandon M. Carr filed 6/15/2026).

- oo0oo -

Calendar line 11

- oo0oo -